THE WORST-HIT SECTORS

The value of annual shipments from India to the US of the sectors most affected by the steep tariffs

ENGINEERING GOODS
$20 bn
(₹1.8 lakh cr.)

TEXTILES
$10.8 bn
(₹95,040 cr.)

GEMS & JEWELLERY
$10 bn
(₹88,000 cr.)

AUTO COMPONENTS
$6.6 bn
(₹58,100 cr.)

CHEMICALS
$6-7 bn
(₹52,800 cr.-61,600 cr.)

FOOD & AGRICULTURE
$6 bn
(₹52,800 cr.)

SEAFOOD
$2.8 bn
(₹24,640 cr.)

HANDICRAFTS & FURNITURE
$2.25 bn
(₹19,800 cr.)

LEATHER
$1.2 bn
(₹10,560 cr.)

TOYS
$79 mn
(Rs 695 cr.)



Graphic by **TANMOY CHAKRABORTY**

FIEO ESTIMATES THE IMPACT OF THE TRUMP TARIFFS TO BE A WHOPPING $47.5 BILLION (APPROX. Rs 4.2 LAKH CRORE), HURTING AS MUCH AS 55 PER CENT OF INDIA'S EXPORTS TO THE UNITED STATES

been hit with tariffs of just 19 per cent, while Bangladesh and Vietnam face 20 per cent. This gives them a 30 per cent cost advantage over Indian goods entering the American market. Meanwhile, Japan and the European Union, both close American allies, are subject to a mere 15 per cent levy. The result: overnight, Indian products have become markedly more expensive than those from nearly every other major trading partner. This has sent tremors across Indian businesses, with thousands of companies, from textiles to engineering goods, auto components to gems & jewellery, staring at big revenue losses, huge layoffs, or even closure.

The Federation of Indian Export Organisations (FIEO) estimates the impact of the Trump tariffs to be a whopping $47.5 billion (Rs 4.2 lakh crore), hurting as much as 55 per cent of India's exports to the US. Global Trade Research Initiative (GTRI), a New Delhi-based think tank, pegs it even higher at 66 per cent, or over Rs 5 lakh crore. Several agencies estimate India's GDP growth to take a hit of 0.5 per cent to nearly 1 per cent in FY26.

THE CRUELLEST CUTS

The pain is palpable across sectors. America is the largest market for Indian gems & jewellery exporters, accounting for $10 billion (Rs 88,000 crore) in annual exports. They have now been rendered uncompetitive against rivals like Turkey (which faces just 15 per cent US tariffs), Vietnam and Thailand. Exporters are already laying off staff even as they await government clearance to sell unsold stock—made in special economic zones (SEZs)—in the domestic market. "There is significant dependency on the US market, as 85 per cent of exports from the SEEPZ SEZ (in Mumbai), which provides 50,000 jobs, is directed there," says Kirit Bhansali, chairman of the Gem & Jewellery Export Promotion Council (GJEPC). "With the tariff hike, the entire industry may come to a standstill, placing immense pressure on every part of the value chain—from